THE MASTERMIND COACHING CLASSES

CBSE / RBSE • NURSERY – CLASS XII • JAIPUR

Road No. 5, VKIA, Jaipur — 9887258679

CLASS 10 — SOCIAL SCIENCE · HARD LEVEL CHAPTER TEST SET 3

Chapter 19: **Money and Credit (Economics)** | RBSE Pattern | Session 2026–27

Time: 1 Hour 30 Minutes Name: _____ Roll No.: _____ **Maximum Marks: 40**

General Instructions:

1. All questions are compulsory.
2. Q. 1–10 are Objective Type (1 mark each).
3. Q. 11–14 are Very Short Answer Type (2 marks each).
4. Q. 15–18 are Short Answer Type (3 marks each).
5. Q. 19–20 are Long Answer Type (5 marks each).
6. Internal choice is given in Q. 17 to 20.
7. Write the question number before each answer.
8. Hard level: application and higher-order questions.

SECTION — A (Objective Type Questions) 10 × 1 = 10

Choose the correct option and write it in your answer book.

1. If a bank's deposits are Rs 20 crore and it keeps 15 per cent as cash, the amount it can lend is: 1

(a) Rs 3 crore **(b)** Rs 20 crore **(c)** Rs 15 crore **(d)** Rs 17 crore

2. Which of these is true about the Reserve Bank of India? 1

(a) It lends to every villager **(b)** It charges interest from depositors
(c) It supervises banks and issues notes **(d)** It sets prices of rice

3. Assertion (A): Barter is difficult in a large economy. Reason (R): Barter requires a double coincidence of wants. 1

(a) Both A and R are true and R is the correct explanation of A.
(b) Both A and R are true but R is not the correct explanation of A.
(c) A is true but R is false.
(d) A is false but R is true.

4. Assertion (A): Grameen Bank is a success story in rural credit. Reason (R): It lends to the poor without collateral and has good repayment. 1

(a) Both A and R are true and R is the correct explanation of A.
(b) Both A and R are true but R is not the correct explanation of A.
(c) A is true but R is false.
(d) A is false but R is true.

5. Assertion (A): Informal sources of credit are supervised by the RBI. Reason (R): Moneylenders often charge very high interest. 1

(a) Both A and R are true and R is the correct explanation of A.
(b) Both A and R are true but R is not the correct explanation of A.
(c) A is true but R is false.
(d) A is false but R is true.

6. Assertion (A): Collateral is demanded by lenders. Reason (R): It is a guarantee that the loan will be repaid. 1

(a) Both A and R are true and R is the correct explanation of A.
(b) Both A and R are true but R is not the correct explanation of A.
(c) A is true but R is false.
(d) A is false but R is true.

7. Which of these would be the most affordable credit to a small farmer? 1

(a) a moneylender loan at high interest **(b)** landlord's loan
(c) trader's advance **(d)** a bank loan at low interest

8. Assertion (A): Money is accepted as a medium of exchange. Reason (R): It is authorised by the government of the country. 1

(a) Both A and R are true and R is the correct explanation of A.
(b) Both A and R are true but R is not the correct explanation of A.
(c) A is true but R is false.
(d) A is false but R is true.

9. **Assertion (A):** Absence of collateral is a major reason why the poor find it hard to get bank loans. 1
Reason (R): Collateral is an asset that the lender gives to the borrower as a guarantee.
Choose the correct option:
(a) Both A and R are true and R is the correct explanation of A.
(b) Both A and R are true but R is not the correct explanation of A.
(c) A is true but R is false.
(d) A is false but R is true.

10. **Assertion (A):** Cheap and affordable credit is crucial for a country's development. 1
Reason (R): Self-Help Groups help the poor get loans at reasonable interest without collateral.
Choose the correct option:
(a) Both A and R are true and R is the correct explanation of A.
(b) Both A and R are true but R is not the correct explanation of A.
(c) A is true but R is false.
(d) A is false but R is true.

SECTION — B (Very Short Answer Type) — 4 × 2 = 8

Answer in about 20–30 words each.

11. Why is cash alone not enough for modern transactions? 2

12. How does collateral reduce lender's risk? 2

13. What is the importance of savings for SHG members? 2

14. Why is RBI supervision important for depositors? 2

SECTION — C (Short Answer Type) — 4 × 3 = 12

Answer in about 40–60 words each.

15. Explain how the rate of interest affects savers and borrowers. 3

16. Why do traders and employers provide credit? 3

17. Why should loans be productive? 3

OR

Evaluate the role of credit in increasing production. 3

18. Why does the RBI want banks to lend to the small borrower? 3

OR

Why does the rupee's legal tender status not make cheques legal tender? 3

SECTION — D (Long Answer Type) — 2 × 5 = 10

Answer in about 100–150 words each.

19. **Case study.** A landless labourer, Rama, needs loans when there is no work. She borrows from her employer at 5 per cent per month, and repays by working for him. Arun, a farmer with seven acres, takes a bank loan at 8.5 per cent per annum. Another group of women in the village have formed a Self-Help Group of 15 to 20 members who save and lend to each other. 5
(i) Name the type of credit source Rama uses.
(ii) Who supervises the formal sources of loans?
(iii) How many members does a typical Self-Help Group have?
(iv) Why is the cost of informal credit higher for the borrower?

20. Explain modern forms of money and their role in exchange. 5

OR

Examine the case for expanding formal sector credit in rural India. 5

END OF QUESTION PAPER — Total: 40 Marks